

FTG Holdings Limited

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29.04.2015

Chief Executive Officer,
Nairobi Securities Exchange Ltd,
The Exchange, 55, Westlands Road,
PO Box 46333, **Nairobi.**

Dear Sir,

Re: Audited Results of FTG Holdings Ltd as at 31st December 2014.

Please find enclosed a copy of our Group audited results for the period ended 31st December 2014 for your information and record.

Please acknowledge the receipt of the attached copy of this letter.

Yours faithfully,

A handwritten signature in dark ink, appearing to be "HERIL BANGERA", with a long horizontal line extending to the right.

HERIL BANGERA
Chief Executive Officer

Encl: Audited Report

FTG Holdings Limited
Extract of Audited Financials Results for the year ended 31.12.2014
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	Company 2014 KShs	Restated 2013 KShs	Group 2014 KShs	Group 2013 KShs
Revenue	-	-	1,764,847,673	1,601,356,664
Cost of sales	-	-	(1,197,755,467)	(1,018,821,135)
Gross profit	-	-	567,092,206	582,535,529
Other operating income	10,809,301	-	7,383,007	1,074,535
Selling and distribution costs	-	-	(150,530,394)	(136,768,829)
Administrative expenses	(2,170,387)	(68,837)	(219,906,436)	(165,574,079)
Other operating expenses	-	-	(64,667,058)	(62,077,147)
Operating profit/(loss) before gain on disposal of property, plant and equipment	8,638,914	(68,837)	139,371,325	219,190,009
Gain on disposal of property, plant and equipment	-	-	61,338,464	-
Operating profit/(loss) after gain on disposal of property, plant and equipment	8,638,914	(68,837)	200,709,789	219,190,009
Finance costs	(1,824,228)	-	(55,910,792)	(45,953,750)
Profit/(Loss) before tax	6,814,686	(68,837)	144,798,997	173,236,259
Tax	-	-	8,327,201	(24,188,870)
Profit for the year	6,814,686	(68,837)	153,126,198	149,047,389
Other comprehensive income:				
Items that may be reclassified subsequently to profit or loss:				
- Exchange differences on translation of foreign operations	-	-	7,027,966	(2,875,680)
Total comprehensive income for the year	6,814,686	(68,837)	160,154,164	146,171,709
Dividend:				
Dividend paid during the year	-	-	122,983,160	89,597,728
Total comprehensive income attributable to equity shareholders arises from:				
- Continuing operations	6,814,686	(68,837)	160,154,164	146,171,709
Earnings per share			0.99	1.06

FTG Holdings Limited**Extract of Audited Financials Results for the year ended 31.12.2014****CONSOLIDATED STATEMENT OF FINANCIAL POSITION**

	Company 2014 KShs	Restated 2013 KShs	Group 2014 KShs	Group 2013 KShs
Equity				
Stated capital	133,540,084	884,971	133,540,084	113,502,902
Share premium	152,450,453	-	152,450,453	-
Legal reserves	-	-	2,549,637	1,595,016
Retained earnings	5,895,164	(919,522)	114,181,310	84,992,893
Translation reserve	-	-	5,064,873	(1,963,093)
Shareholders' funds	291,885,701	(34,551)	407,786,357	198,127,718
Non-current liabilities				
Borrowings	-	-	128,173,741	105,490,545
	291,885,701	(34,551)	535,960,098	303,618,263
Non-current assets				
Investment in subsidiaries	129,894,004	-	-	-
Deferred tax	-	-	44,886,437	22,443,838
Property, plant and equipment	-	-	203,846,151	163,230,475
	129,894,004	-	248,732,588	185,674,313
Current assets				
Inventories	-	-	124,534,878	123,324,072
Trade and other receivables	153,101,409	-	601,826,328	532,357,443
Cash and cash equivalents	11,489,805	11,273	68,153,707	31,695,148
Tax recoverable	-	-	11,207,304	2,758,399
	164,591,214	11,273	805,722,217	690,135,062
Current liabilities				
Borrowings	-	-	85,139,409	105,313,120
Trade and other payables	2,599,517	45,824	433,355,298	466,877,992
	2,599,517	45,824	518,494,707	572,191,112
Net current assets	161,991,697	(34,551)	287,227,510	117,943,950
	291,885,701	(34,551)	535,960,098	303,618,263

FTG Holdings Limited
CONSOLIDATED STATEMENT OF CASH FLOWS

	Company 2014 KShs	Restated 2013 KShs	Group 2014 KShs	Group 2013 KShs
Operating activities				
Cash from/(used in) operations	(141,908,802)	(213,155)	60,264,424	155,235,816
Interest paid	-	-	(48,911,035)	(33,056,610)
Tax paid	-	-	(22,564,303)	(14,995,612)
Net cash (used in)/generated from operating activities	(141,908,802)	(213,155)	(11,210,914)	107,183,594
Investing activities				
Investment in Subsidiaries	(17,276,073)	-		
Purchase of property, plant and equipment	-	-	(71,673,379)	(9,799,379)
Proceeds from disposal of property, plant and equipment	-	-	66,314,508	-
Net cash used in investing activities	(17,276,073)	-	(5,358,871)	(9,799,379)
Financing activities				
Repayments of borrowings	-	-	(11,819,524)	(32,481,932)
Proceeds from borrowings	-	-	-	32,135,500
Issue of shares at a premium	194,300,000	-	194,300,000	-
Payment of listing expenses	(21,812,365)	-	(21,812,365)	-
Refund of deposit for shares	-	-	-	(9,500,000)
Dividend paid	-	-	(77,854,038)	(89,597,728)
Net cash generated from/(used in) financing activities	172,487,635	-	82,814,073	(99,444,160)
Increase/(decrease) in cash and cash equivalents	13,302,760	(213,155)	66,244,288	(2,059,945)
Movement in cash and cash equivalents				
At start of year	11,273	224,428	(20,068,452)	(6,016,060)
Increase/(decrease)	13,302,760	(213,155)	66,244,288	(2,059,945)
Foreign exchange loss and effects of f/e movements	(1,824,228)	-	(6,999,757)	(12,897,140)
Effect of translation of opening cash and cash equivalents	-	-	986,175	3,780,373
Translation reserve	-	-	7,027,966	(2,875,680)
At end of year	11,489,805	11,273	47,190,220	(20,068,452)

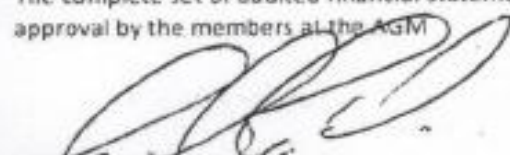
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Stated capital KShs	Share premium KShs	Legal reserves KShs	Retained earnings KShs	Translation reserve KShs	Total equity KShs
Year ended 31 December 2013						
At start of year	113,502,902	-	1,595,016	25,543,232	912,587	141,553,737
Total comprehensive income for the year	-	-	-	149,047,389	(2,875,680)	146,171,709
Transactions with owners:						
Dividend paid	-	-	-	(89,597,728)	-	(89,597,728)
At end of year	113,502,902	-	1,595,016	84,992,893	(1,963,093)	198,127,718
Year ended 31 December 2014						
At start of year	113,502,902	-	1,595,016	84,992,893	(1,963,093)	198,127,718
Total comprehensive income for the year	-	-	-	153,126,198	7,027,966	160,154,164
Transfer between reserves	-	-	954,621	(954,621)	-	-
Transactions with owners:						
Issue of share capital	20,037,182	174,262,818	-	-	-	194,300,000
Listing expenses	-	(21,812,365)	-	-	-	(21,812,365)
Dividend paid	-	-	-	(122,983,160)	-	(122,983,160)
At end of year	133,540,084	152,450,453	2,549,637	114,181,310	5,064,873	407,786,357

COMPANY STATEMENT OF CHANGES IN EQUITY

	Stated capital KShs	Share premium KShs	Retained earnings KShs	Total equity KShs
Year ended 31 December 2013				
At start of year (Restated)	884,971	-	(850,685)	34,286
Total comprehensive loss for the year	-		(68,837)	(68,837)
At end of year (Restated)	884,971	-	(919,522)	(34,551)
Year ended 31 December 2014				
At start of year (Restated)	884,971	-	(919,522)	(34,551)
Total comprehensive income for the year	-	-	6,814,686	6,814,686
Transactions with owners:				
Issue of shares	112,617,931	-	-	112,617,931
Issue of shares	20,037,182	174,262,818	-	225,235,862
Listing expenses	-	(21,832,365)	-	(21,832,365)
At end of year	133,540,084	152,430,453	5,895,164	291,885,701

The above financial statements are extracts from the Group's financial statements which are audited by PKF Mauritius, and received unqualified opinion.
The complete set of audited financial statements and disclosures can be accessed on the Group website www.flametreegroup.com after the approval by the members at the AGM


Chairman


Chief Executive Officer